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Which Retirement Account Is Best for Your Savings: Traditional or Roth?

Financial pros typically recommend an even split between the two. We put that to the test.

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Financial advisers typically recommend that retirement savers should split contributions evenly between traditional, tax-deferred 401(k)s or individual retirement accounts and their after-tax Roth equivalents as they progress through their careers.

But is that really what they should be aiming for?

My research assistants (Nichola Bennett, Dahlia Trippel, Gopika Patel and Wehbe El Hadj Sidi) and I decided to test the conventional wisdom with a set of simulations and found that if you plan to retire earlier in life (around 65)

but wait to withdraw your money until later in life (75+), then tilting more toward a Roth retirement account is beneficial given that investments grow tax-free. Yet if you plan to both retire and withdraw your money later in life, then aiming for a 50-50 split is best.

It never appears optimal in our simulations to have an overweighting toward a traditional retirement account.

To model this problem, we ran tens of thousands of simulations with the choice of over- or under-weighting an investor's allocation to traditional or Roth retirement accounts. Specifically, we model three choices for the investor: a 50-50 split; a 60-40 split favoring the traditional account; and a 60-40 split favoring the Roth account.

Our assumptions

For our model investor, we started with an individual who begins allocating money to his or her retirement account at the age of 20 with a starting salary of \$30,000 and an annual growth rate of 3% in salary. The person would start by allocating 10% of salary to a retirement account each year and keeping that contribution rate throughout a career. We used an expected return of 6% a year and 15% volatility.

Account Allocations

The ideal distribution of your retirement savings depends on when you plan to retire and begin tapping your accounts. Most scenarios favor a balanced approach; none call for favoring traditional* accounts over Roths

We modeled all tax-rate brackets as they are today and assumed that the future tax brackets will look the same. While this is unlikely, the assumption is necessary to get any valid results. In fact, the variability of tax rates is why advisers recommend having at least some portion of your wealth in each type of account.

AGE OF WITHDRAWAL FROM ACCOUNT	RETIREMENT AGE		
	65	75	85
	Balanced [†]	Roth [‡]	Balanced [†]
	Roth [‡]	Balanced [†]	Balanced [†]
85	Roth [‡]	Balanced [†]	Balanced [†]

*60% traditional/40% Roth

[†]50% Roth/50% traditional

[‡]60% Roth/40% traditional

Source: Derek Horstmeier, George Mason University

To account for the need to take required minimum distributions from traditional accounts at age 73, we also assumed that when the person reaches the age of 60, he would start taking withdrawals in accordance with current 401(k) and IRA rules that allow for penalty-free distributions after age 59½. He or she would take money

out of the accounts in equal proportion and it would be taxed according to marginal tax rates (if from a traditional account) and put in a brokerage account earning the same level of returns but taxable. This assumption is necessary to make a like-for-like comparison in the end.

Finally, we compared balances of our three different scenarios across all simulations for a person at the age of 85—an arbitrary age to judge returns after 6½ decades of returns.

Our findings

In general, we find that if you plan to retire earlier in life and take distributions later, then tilting more toward a Roth retirement account is beneficial.

For instance, if you had your retirement accounts weighted more heavily toward Roth accounts and retired at 65, yet waited to start withdrawing at 75, your final retirement balance at 85 would be \$2.88 million under the simulations we used. If you were balanced across retirement accounts (50-50 split between accounts) your balance at 85 would be \$2.8 million; if you weighted your holdings toward traditional retirement accounts, your balance at 85 would be \$2.75 million.

On the other end of the spectrum, if you plan to retire later in life and take money out later in life, then aiming for a 50-50 split is best.

For instance, if you had your retirement accounts weighted more heavily toward Roth accounts and retired at 75, while also beginning withdrawals then, your final retirement balance at 85 would be \$2.75 million under the average simulations noted. If you were equally balanced in accounts, your balance at age 85 would be \$2.80 million and if you weighted your holdings toward traditional retirement accounts, then your balance would be \$2.74 million.

When we also investigate retiring at age 65 and beginning withdrawals immediately, the three options are close with a slight edge to a 50-50 split.

Bottom line: If you want to retire at age 65 and begin withdrawals at 75, then Roth accounts should be favored, but a 50-50 split is good for everyone else. And overweighting traditional retirement accounts was never optimal in our simulations.

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